

Like the majority of PAWs, he used interpersonal communication. Early in his career he asked his accountant for a referral to a quality financial advisor. The accountant provided the names of several such advisors. Mr. Martin also asked for referrals from those of the accountant's clients whose investments always seemed to do well. Mr. Martin has patronized several financial advisors since first being introduced via his accountant. He also relies on others for investment advice, including his attorney and CPA.

Mr. Martin always felt his financial advisors were credible sources of investment wisdom because all were endorsed by his CPA and/or his CPA's most successful investors. Also, Mr. Martin reasoned quite correctly that these financial advisors would treat him as a special client. And, indeed, they went out of their way to provide him with good advice and timely forecasts. Why? To do otherwise would jeopardize their relationships with their referral network. What would Mr. Martin do if his advisors provided him with poor service and low-quality advice? He would complain to the CPA who endorsed these people. The CPA would not enjoy losing Mr. Martin as a client and would likely cast these advisors out of his referral network. No financial advisor would enjoy being fired in this way. Even better-grade advisors seem to turn up their level of service for members of important referral networks.

What is to be learned from this case scenario? Choose a financial advisor who is endorsed by an enlightened accountant and/or his clients with investment portfolios that in the long run outpace the market. If you don't have an accountant, hire one.

Another correlate of wealth accumulation is employment of a CPA, not just to do taxes but also to provide various kinds of investment advice. To find a high-quality accountant, ask friends or associates who fit the PAW profile. You may wish to call the accounting department at your state's university. Speak with several accounting faculty. Ask them for the names of their former students who have established track records in helping clients make enlightened financial decisions. Another method is to call the local offices of national accounting firms, which are often very selective in their hiring. Even large firms have many smaller accounting/financial planning clients. We selected our CPAs based on two criteria. First, the CPAs were recommended by professors of accounting. Second, the CPAs were initially hired out of college by major accounting firms and later started their own successful accounting firms. We find that many of the very best CPAs and financial planners follow this career path.